

CREDIT INTELLIGENCE PLATFORM

Financial Health & Credit Risk Assessment of Indian Listed Companies

FY2021 - FY2025

20 Companies | 4 Sectors | Auto - Steel - FMCG - Telecom

Prepared by-

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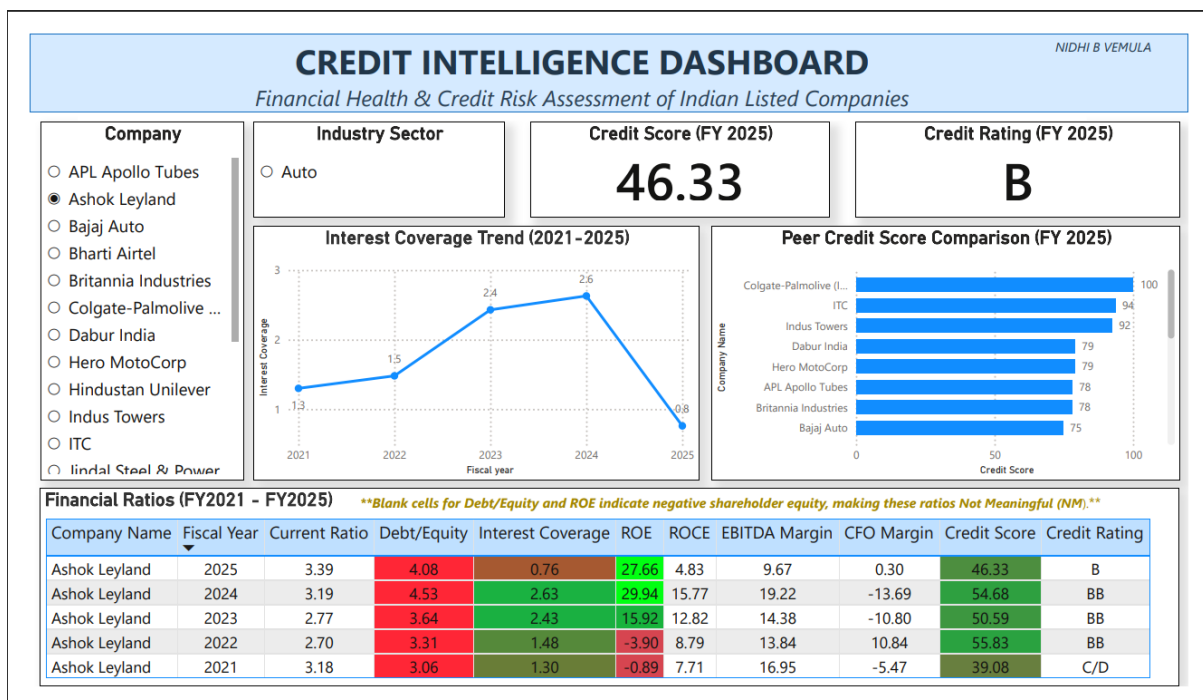
1. Executive Summary

This report looks at the financial health and credit risk of 20 companies listed on Indian stock exchanges, across four industries; Automobiles, Steel, FMCG (everyday consumer goods), and Telecommunications over five years (FY2021 to FY2025). Rather than just listing financial numbers, this project builds a scoring system, similar in spirit to how credit rating agencies work, that turns those numbers into a single score (0-100) and a simple letter grade (AAA down to C/D) for every company, every year.

Across all 20 companies, the average FY2025 score was 70.2. FMCG was consistently the strongest sector (average score 84.9), largely because these businesses typically carry very little debt and have stable, predictable profits. Telecom was the weakest sector on average (62.3) but also the most mixed; it contains both the single highest-scoring company in the whole study (Indus Towers, a tower infrastructure business) and one of the lowest (MTNL).

Three companies are covered in full analytical depth in this report; ITC (a strong, diversified FMCG major), Ashok Leyland (a commercial vehicle maker whose credit story shifts meaningfully across the five years, including a notable step backward in FY2025), and Vodafone Idea (a company in genuine, sustained financial distress), chosen specifically because they represent three very different credit stories. The remaining 17 companies are covered in a shorter, standardized format.

A companion Power BI dashboard and the full underlying code (SQL database, Python scripts) accompany this report, so any company or year in the dataset can be explored in more depth than what's printed here.



2. Methodology

2.1 Data Sources

Financial statement data- the Income Statement, Balance Sheet, and Cash Flow Statement, for all 20 companies across FY2021-FY2025 was collected primarily from screener.in, a free financial data platform, and cross-checked against moneycontrol.com and company annual reports where needed. Microsoft Excel was used to storing the data in their separate sector sheets. All figures are in INR Crores (1 Crore = 10 million) unless stated otherwise.

2.2 Why Python?

Three different tools were used in this project, each for a specific job, rather than one tool trying to do everything:

- SQL (PostgreSQL) stores the data in an organized, searchable way; think of it as a set of connected spreadsheets that can answer complex questions instantly (e.g. 'show me every company where debt grew faster than profit for three years running'), something a plain spreadsheet struggles to do.
- Excel was used as a staging area: a place to type in raw numbers from screener.in before they were loaded into the database.
- Python was used for everything that needed to happen the same way, many times over, without manual repetition: calculating 10 ratios for 100 company-years (1,000 individual calculations) instead of writing formulas by hand each time; applying the same scoring rules consistently to every company with zero risk of a copy-paste or drag-formula error; and generating 45+ charts automatically instead of building each one manually in Excel. In short, Python was the right tool wherever the same calculation needed to be repeated reliably at scale, and consistency mattered more than one-off flexibility.

2.3 Ratios Calculated: What Each One Actually Measures

Ten financial ratios were calculated for every company, every year. Each answers a different, specific question about a company's financial health:

Ratio	Formula	What It Actually Tells You
Current Ratio	$\text{Current Assets} \div \text{Current Liabilities}$	Can the company pay its bills due in the next year using what it currently owns?
Quick Ratio	$(\text{Current Assets} - \text{Inventory}) \div \text{Current Liabilities}$	Same question, but stricter; excludes unsold inventory, which isn't always quick to convert to cash.
Debt/Equity	$\text{Total Debt} \div \text{Total Equity}$	How reliant is the company on borrowed money versus its own capital? Higher = more financially risky.
Debt/EBITDA	$\text{Total Debt} \div \text{EBITDA}$	Roughly, how many years of core earnings would it take to pay off all debt?
Interest Coverage	$\text{EBIT} \div \text{Interest Expense}$	Can the company comfortably pay the interest on its debt from its operating earnings? Below 1x is a serious warning sign.
ROE	$\text{Net Profit} \div \text{Total Equity}$	How much return is the company generating for its shareholders' invested capital?
ROCE	$\text{EBIT} \div (\text{Total Assets} - \text{Current Liabilities})$	How efficiently is the company using ALL the capital invested in it (not just shareholders' share)?
EBITDA Margin	$\text{EBITDA} \div \text{Revenue}$	Of every rupee of sales, how much becomes core operating profit before financing and tax effects?
CFO Margin	$\text{Cash from Operations} \div \text{Revenue}$	Is the company's reported profit backed by real cash, or just accounting entries?
Asset Turnover	$\text{Revenue} \div \text{Total Assets}$	How efficiently is the company using its assets to generate sales?

2.4 Weighted Scoring Methodology

Each ratio is converted into points using tiered thresholds (this project's own construction, based on standard credit-analysis conventions; **not any rating agency's confidential methodology**), then combined into a single 0-100 score across five weighted categories:

Category	Weight	What It Broadly Captures	Ratios Included
Liquidity	25 pts	Short-term survival - can bills get paid?	Current Ratio, Quick Ratio
Leverage	25 pts	Debt burden and ability to service it	Debt/Equity, Debt/EBITDA, Interest Coverage
Profitability	20 pts	How well the business actually earns money	ROE, ROCE, EBITDA Margin
Cash Flow	20 pts	Whether reported profit is backed by real cash	CFO Margin
Efficiency	10 pts	How productively assets are used	Asset Turnover

The final score maps to a letter rating: AAA (90-100), AA (80-89), A (70-79), BBB (60-69), BB (50-59), B (40-49), C/D (below 40); the same broad scale convention used by CRISIL and other agencies, though the specific scoring thresholds behind it are independently built for this project.

2.5 Handling Negative Equity ('Not Meaningful')

Two companies- Vodafone Idea and MTNL, have negative shareholder equity throughout the study period, meaning accumulated losses have wiped out their entire capital base. Dividing by a negative number here would produce a technically valid but misleading result (for example, a loss-making company could appear to have a 'positive' return though in reality it's negative). For these cases, ROE and Debt/Equity are marked 'Not Meaningful' (NM) rather than calculated, and in the scoring engine, an NM ratio scores zero points; since negative equity is itself a serious warning sign, not a neutral gap in the data.

2.6 Data Notes and Substitutions

- Tata Motors was replaced with Ashok Leyland in the Auto sector. Tata Motors underwent a demerger in October 2025, splitting its commercial vehicle business from its passenger vehicle and Jaguar Land Rover operations; this made its historical financials inconsistent with treating it as one continuous company across FY2021-FY2025.
- Nestlé India was replaced with Colgate-Palmolive (India) in the FMCG sector, after Nestlé changed its fiscal year-end from December to March, creating a non-standard 15-month transition period that couldn't be cleanly compared year-over-year against the rest of the dataset.

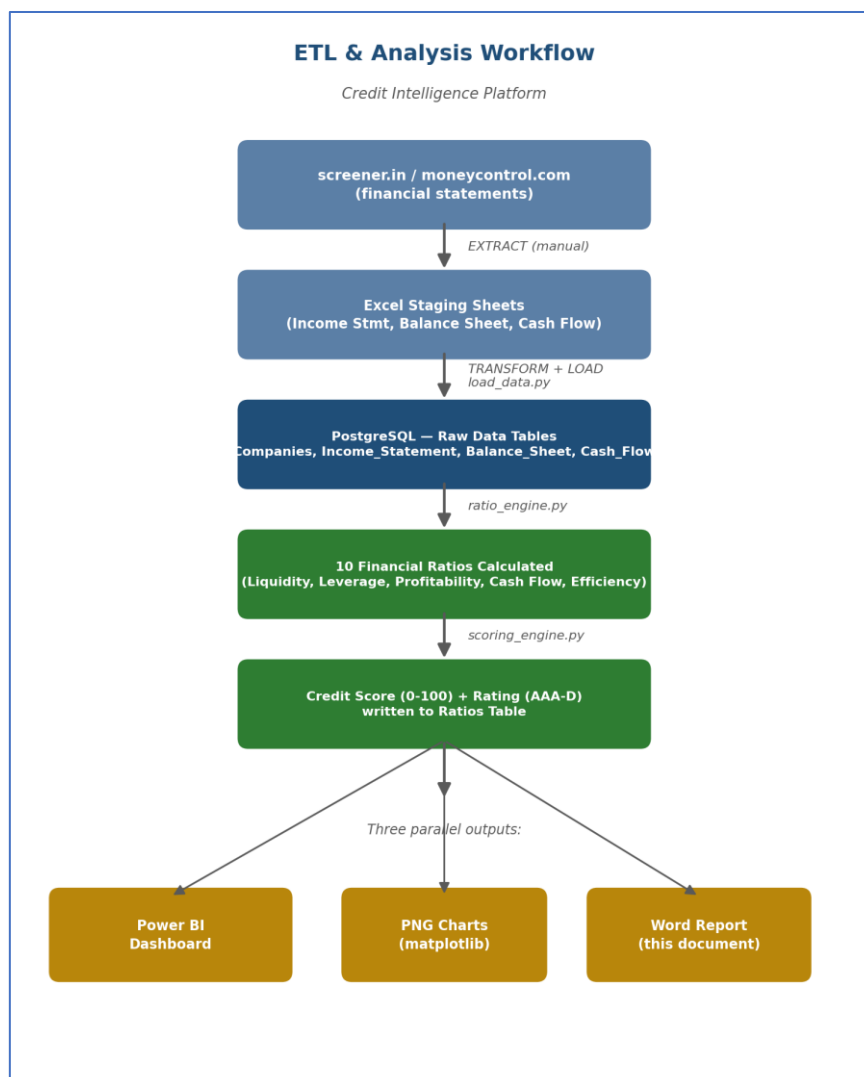
3. Technology Stack & Data Workflow

3.1 Technology Stack

Tool	Role in This Project	Why This Tool
PostgreSQL	Stores all financial data in organized, connected tables	Handles complex, multi-condition questions instantly; industry-standard relational database
Python	Loads data, calculates ratios, runs the scoring engine, generates charts	Repeats the same calculation reliably across 100 company-years with zero manual error risk
Excel	Staging area for typing in raw data before it enters the database	Familiar, simple interface for manual data entry from screener.in
Power BI	Interactive dashboard; explore any company or sector live	Lets anyone, not just the author, explore the data without needing to read code
Microsoft Word	This report	Standard format for a written, shareable analytical deliverable

3.2 End-to-End Data Workflow (ETL)

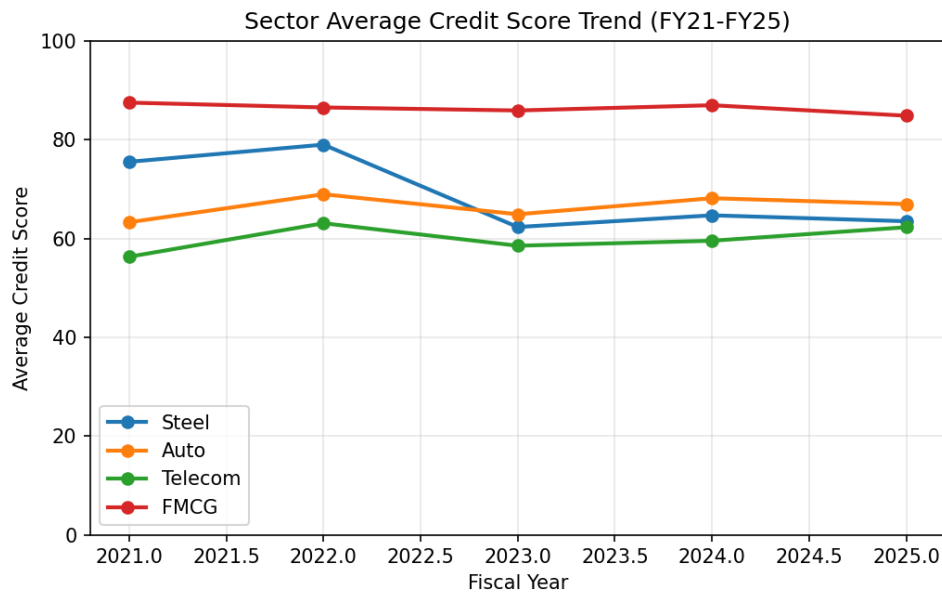
The diagram below shows how a number travels from a public website all the way to a credit rating in this report; Extract (get the data), Transform (clean/organise it), Load (put it in the database), then Analyse (calculate ratios and scores) and Present (dashboard, charts, this report).



4. Sector Overview

Average credit scores by sector, tracked across the five-year window, show four very different risk journeys:

Sector	FY2021	FY2022	FY2023	FY2024	FY2025
FMCG	87.52	86.55	85.93	87.00	84.87
Steel	76.29	79.02	62.33	65.45	63.50
Auto	63.30	68.97	64.91	68.16	66.30
Telecom	56.31	63.09	58.54	59.55	62.29



FMCG: Consistently the Strongest

FMCG holds the highest average score in every single year, by a wide margin over the next-best sector. This comes down to how these businesses are structurally built: low capital intensity, minimal working capital needs, strong brand-driven pricing power, and correspondingly low reliance on debt. All five FMCG companies in this study carry Debt/Equity below 0.4; a pattern rarely seen outside this sector.

Steel: Highly Cyclical

Steel shows the single largest year-on-year swing anywhere in this dataset: its average score fell from 79.0 in FY2022 to 62.3 in FY2023, a 17-point drop in one year. This lines up with a well-documented industry-wide margin squeeze during that period; a sharp spike in imported coking coal costs (a key steelmaking input) combined with a government export duty on finished steel, both hitting margins at the same time. This is a clear example of how a capital-intensive, commodity-linked sector transmits outside economic shocks directly into credit risk, in a way FMCG is largely insulated from.

Auto: Recovering, With a Late Wobble

Auto shows a broad recovery from FY2021's pandemic-depressed level (63.3) through FY2024 (68.2), though the sector average dips slightly in FY2025 (66.3); driven substantially by Ashok Leyland's specific FY2025 setback, discussed in detail in Section 6.2. This is a useful reminder that a sector-level average can mask a real company-specific story underneath it.

Telecom: Two Very Different Businesses Under One Label

Telecom has the lowest sector average, but also by far the widest gap between its best and worst performers: Indus Towers (AAA) sits alongside MTNL (B) and Vodafone Idea (BB). This isn't really one sector-wide story; it's two fundamentally different business models coexisting under the same label: capital-light tower infrastructure companies with contracted, predictable cash flows, versus capital-intensive network operators carrying heavy debt loads.

5. Portfolio Rating Distribution

All 20 companies, ranked by their FY2025 score, are shown below. This ranking is the basis for the deep-dive selections (Section 6) and standardized coverage (Section 7) that follow.

Rank	Company	Sector	Score	Rating
1	Colgate-Palmolive (India)	FMCG	100.00	AAA
2	ITC	FMCG	93.50	AAA
3	Indus Towers	Telecom	92.33	AAA
4	Hero MotoCorp	Auto	78.92	A
5	Dabur India	FMCG	78.96	A
6	APL Apollo Tubes	Steel	77.92	A
7	Britannia Industries	FMCG	77.79	A
8	Bajaj Auto	Auto	74.67	A
9	Hindustan Unilever	FMCG	74.12	A
10	Jindal Steel & Power	Steel	70.24	A
11	Maruti Suzuki India	Auto	69.46	BBB
12	Mahindra & Mahindra	Auto	65.51	BBB
13	Tata Communications	Telecom	61.58	BBB
14	JSW Steel	Steel	60.09	BBB
15	Bharti Airtel	Telecom	58.12	BB
16	Steel Authority of India	Steel	57.94	BB
17	Tata Steel	Steel	51.33	BB
18	Vodafone Idea	Telecom	50.24	BB
19	MTNL	Telecom	49.16	B
20	Ashok Leyland	Auto	46.33	B

6. Company Deep Dives

6.1 ITC Limited

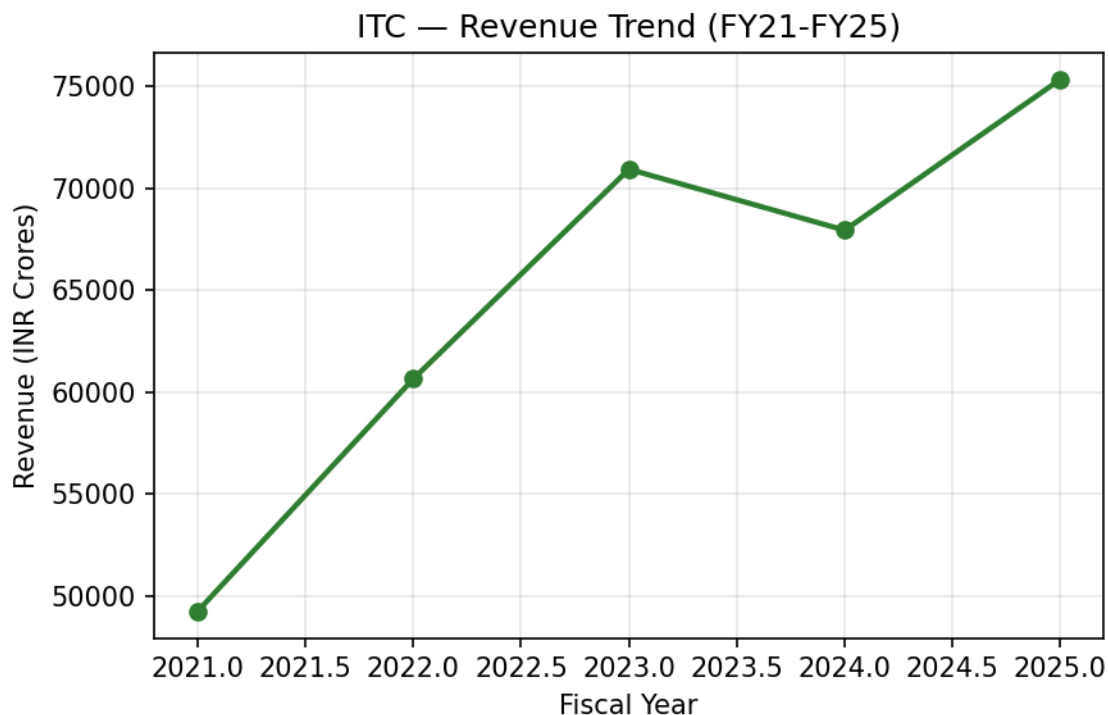
Company	Sector	FY2025 Score	FY2025 Rating	Investment View
ITC Limited	FMCG	93.50	AAA	Positive / Core Holding

Business Overview

ITC is one of India's largest diversified conglomerates, with roots in cigarettes and tobacco, which remain its largest single profit contributor. Over several decades ITC has diversified into packaged foods (Aashirvaad, Sunfeast, Bingo, Yippee), personal care (Fiama, Vivel), paperboards and packaging, agri-business, and hotels; the latter of which was demerged into a separately listed entity, ITC Hotels, completed in early 2025. This diversification is broadly aimed at reducing the company's dependence on a single, tightly regulated product category.

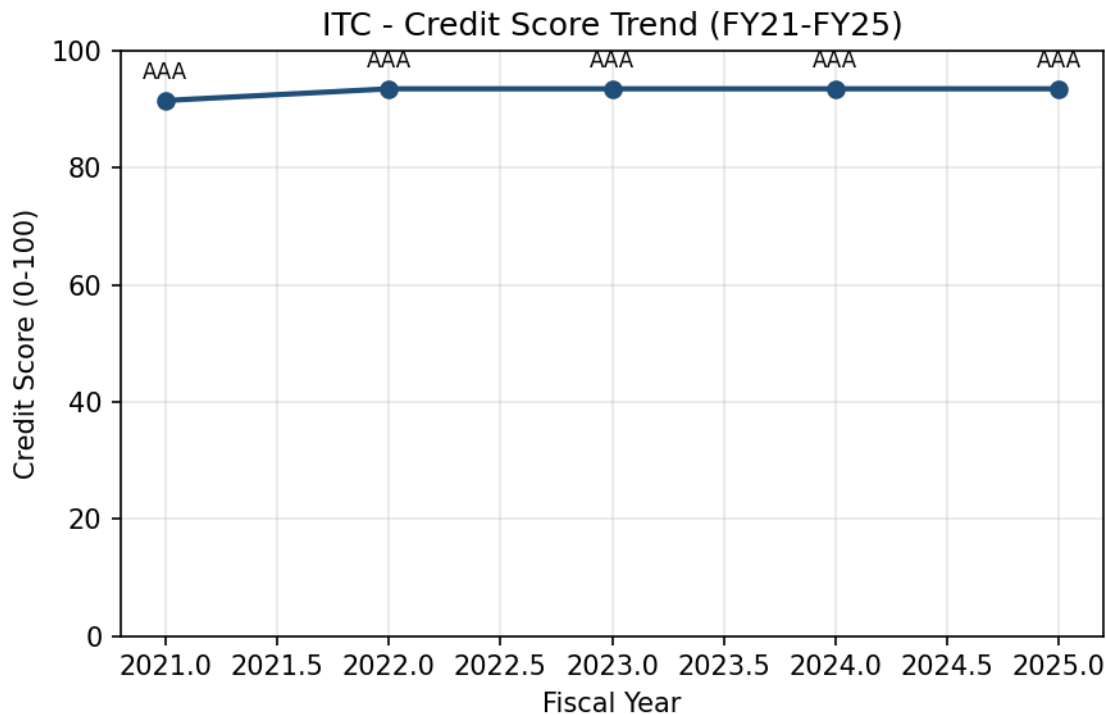
Financial Analysis

ITC's revenue grew from ₹49,257 crore in FY2021 to ₹75,323 crore in FY2025, roughly 11% growth per year, with profit growing even faster, from ₹13,383 crore to ₹35,052 crore. That FY2025 profit figure is a 69% jump in a single year, which appears mostly driven by one-off gains from the ITC Hotels demerger rather than a sudden change in the core business; EBITDA margin that year was 36.5%, essentially in line with prior years, which supports that reading.



Ratio Analysis (FY2021-FY2025)

Metric	FY21	FY22	FY23	FY24	FY25
Current Ratio	1.64	1.72	1.68	1.77	1.71
Debt/Equity	0.00	0.00	0.00	0.00	0.00
Interest Coverage (x)	294.2	343.7	329.5	645.9	574.0
ROE (%)	22.18	24.82	28.16	27.85	50.05
ROCE (%)	28.15	32.89	37.00	33.67	36.74
EBITDA Margin (%)	37.99	36.86	38.79	39.31	36.48
CFO Margin (%)	25.43	26.01	26.62	25.29	23.40



ITC carries effectively zero reported debt across every year in this study; a rare and important feature, and the reason its interest coverage numbers run into the hundreds (there's almost no interest expense to cover in the first place). Profitability is consistently strong and improving, and liquidity ratios stay comfortable throughout.

Cash Flow Analysis

CFO margin has stayed in a tight, healthy 23-27% band throughout, meaning ITC's reported profits are well-backed by actual cash, a genuinely positive sign, since profit growth without matching cash flow is a common way credit risk hides inside a business that looks fine on paper.

Risk Assessment

- Regulatory risk: cigarette taxation is a structural overhang on ITC's largest profit segment, independent of how well the company itself is run.
- Margin mix risk: the non-cigarette FMCG segments run at meaningfully lower margins than tobacco, so continued growth in those segments could pressure blended margins even while reducing ITC's overall product concentration risk.
- One-off distortion: the FY2025 ROE spike should be treated as a one-time event, not a new normal, when judging ITC's forward-looking credit quality.

Management Commentary & Outlook

ITC's continued investment in its non-cigarette FMCG portfolio, alongside the 2025 hotels demerger, fits a long-run strategy of simplifying the business and sharpening capital allocation toward its core segments. From a credit standpoint this is broadly positive, provided the remaining, simplified company doesn't take on significant new debt.

Credit Opinion & Rating: AAA

ITC's combination of zero leverage, strong and improving profitability, and consistent cash generation puts it at the top of this study's scale. Its main risks are regulatory and product-mix related, not balance-sheet related; a meaningfully different risk profile from most other companies in this dataset.

Investment View: Positive / Core Holding

On credit grounds, ITC is the lowest-risk name in this study. The FY2025 earnings jump should be read as a one-off, but even without it, the underlying trend is solidly positive.

6.2 Ashok Leyland

Company	Sector	FY2025 Score	FY2025 Rating	Investment View
Ashok Leyland	Auto	46.33	B	Volatile / High Risk- Monitor Closely

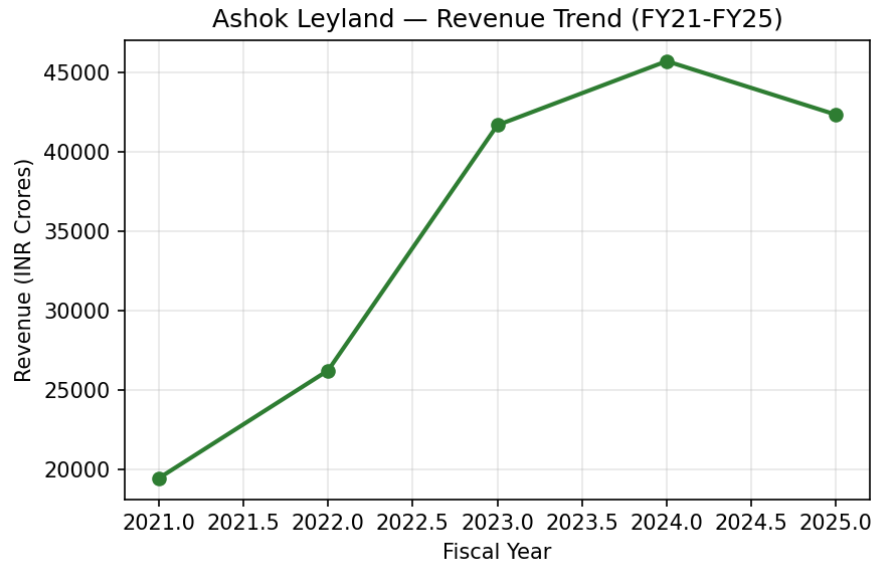
Business Overview

Ashok Leyland, part of the Hinduja Group, is India's second-largest maker of commercial vehicles, with a core business in medium and heavy trucks and buses. Demand for this business is closely tied to infrastructure investment, mining and logistics activity, and vehicle replacement cycles; a more cyclical, less steady demand pattern than passenger vehicles. The company has also been investing in electric and alternative-fuel commercial vehicles.

Financial Analysis: A Recovery, Then a Sharp Step Back

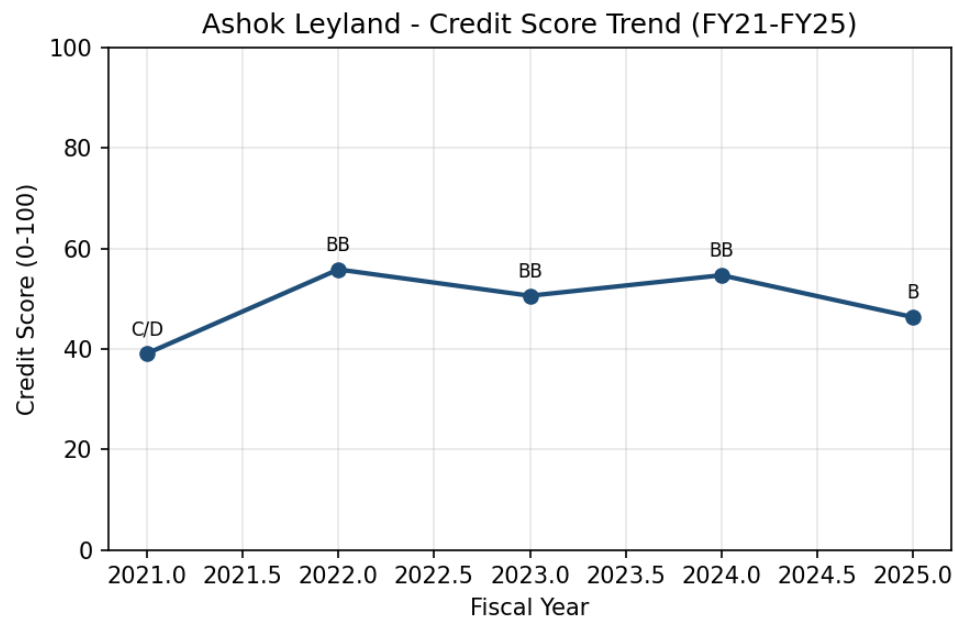
Ashok Leyland's five-year story is the most eventful in this dataset, and it does not move in one clean direction. FY2021 revenue of ₹19,454 crore reflected a pandemic-depressed commercial vehicle market, with the company posting a net loss and a C/D rating (the lowest tier in this study). Revenue then grew steadily every year, reaching ₹42,333 crore by FY2025- more than double over four years.

However, FY2025 also reveals a real, and easy to miss, warning sign underneath that revenue growth: core operating profit (EBIT) fell sharply to ₹3,006 crore in FY2025, down from ₹7,856 crore the year before; even as reported net profit stayed high at ₹3,383 crore. The gap between these two numbers is explained by an unusually large 'Other Income' figure (₹6,607 crore) that year, which appears to be a one-off, non-operating item rather than core business earnings. This is precisely why this study looks at ten ratios rather than any single number: a glance at ROE alone (27.66%, still strong-looking) would completely miss that the company's actual operating business weakened substantially in FY2025.



Ratio Analysis (FY2021-FY2025)

Metric	FY21	FY22	FY23	FY24	FY25
Current Ratio	3.18	2.70	2.77	3.19	3.39
Debt/Equity	3.06	3.31	3.64	4.53	4.08
Interest Coverage (x)	1.30	1.48	2.43	2.63	0.76
ROE (%)	-0.89	-3.90	15.92	29.94	27.66
ROCE (%)	7.71	8.79	12.82	15.77	4.83
EBITDA Margin (%)	16.95	13.84	14.38	19.22	9.67
CFO Margin (%)	-5.47	10.84	-10.80	-13.69	0.30
Credit Score	39.08	55.83	50.59	54.68	46.33
Rating	C/D	BB	BB	BB	B



Two separate problems show up in FY2025 alone: Interest Coverage falls below 1.0x (0.76x) for the first time since FY2022, meaning core operating earnings no longer fully cover interest payments; and ROCE and EBITDA Margin both roughly halve from the year before. Meanwhile, Debt/Equity has been on a worsening trend for the entire five years (3.06x in FY2021 to a peak of 4.53x in FY2024), meaning the company's improving revenue has been partly funded by rising debt rather than organic strength alone.

Cash Flow Analysis: A Persistent Watch Item

CFO Margin has been genuinely inconsistent across the five years: negative in FY2021, positive in FY2022, negative again in FY2023 and FY2024, and only barely positive (0.30%) in FY2025. This volatility, most likely tied to working-capital swings as sales volumes have grown (rising receivables and inventory), is worth tracking as its own issue, separate from the profit-and-loss story; a company can show recovering profit on paper while its actual cash generation lags well behind, which is exactly the pattern here across FY2023 and FY2024.

Risk Assessment

- Leverage risk: Debt/Equity above 4x is high in absolute terms, and the highest of any Auto-sector company in this study.
- Core earnings risk: the FY2025 collapse in EBIT-based metrics (Interest Coverage, ROCE, EBITDA Margin) is a genuine deterioration in the underlying business, masked by a one-off gain that kept net profit and ROE looking strong.
- Cash conversion risk: multiple years of negative or near-zero CFO Margin (FY2021, FY2023, FY2024, FY2025) is a recurring, not one-time, concern.
- Cyclicity risk: as a pure commercial vehicle business, Ashok Leyland remains more exposed to infrastructure and capex cycles than passenger-vehicle peers in this study (Maruti Suzuki, Hero MotoCorp), which have steadier, more defensive demand.

Management Commentary & Outlook

The company's continued investment in expanding its vehicle range and its move into electric and alternative powertrains reflect an attempt to defend market share and prepare for a longer-term shift in the industry. The key open question from a credit standpoint is whether FY2025's weak core earnings and high leverage are a temporary rough patch or the start of a more serious, structural problem; the next year or two of data will likely answer that.

Credit Opinion & Rating: B

Ashok Leyland moves from a BBB-equivalent reading a year earlier down to a B rating in FY2025, driven by a genuine weakening in core operating profitability that a surface-level glance at net profit or ROE alone would have missed entirely. This is a materially higher-risk profile than the company's revenue growth story alone would suggest, and is a clear example of why looking at multiple ratios, not just the most flattering one, matters in credit analysis.

Investment View: Volatile / High Risk: Monitor Closely

This is not a stable credit profile in either direction; it swung from C/D to BB to now B across five years. Given the FY2025 weakening is recent and possibly one-off-influenced, this name genuinely needs another year of data before drawing a firm conclusion, and should be treated with real caution until that clarity emerges.

6.3 Vodafone Idea

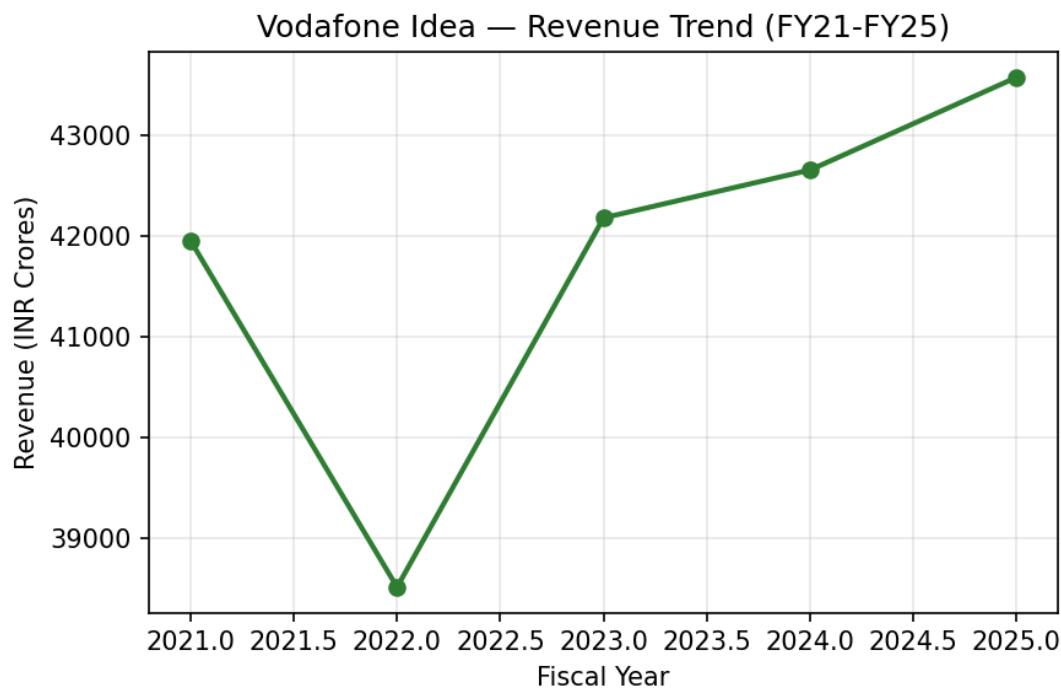
Company	Sector	FY2025 Score	FY2025 Rating	Investment View
Vodafone Idea	Telecom	50.24	BB	Negative / High Risk

Business Overview

Vodafone Idea was formed through the 2018 merger of Vodafone India and Idea Cellular, briefly creating India's largest telecom operator by subscriber count. The company has faced sustained financial distress since then, driven substantially by large statutory dues (AGR dues) following an adverse 2019 Supreme Court ruling, along with intense price competition from Reliance Jio and Bharti Airtel that pushed industry tariffs down for an extended period. The Government of India has since converted a portion of the company's dues into equity, becoming a large shareholder, and the company has raised additional capital to fund network investment.

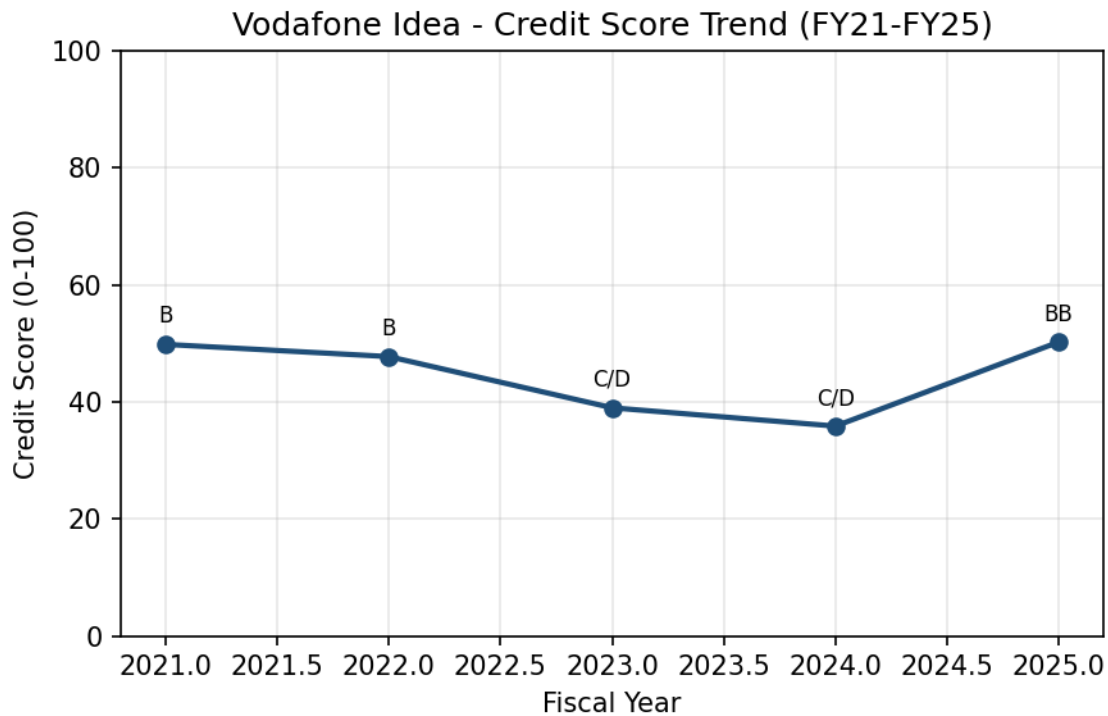
Financial Analysis: Sustained Distress

Vodafone Idea posted a net loss in every single year from FY2021 to FY2025, from a peak loss of ₹44,233 crore in FY2021 to a still-large ₹27,383 crore loss in FY2025. While the size of the annual loss has narrowed from its FY2021 peak, the company has not come close to profitability in any of the five years studied, and shareholder equity has remained negative throughout; accumulated losses have fully wiped out the company's original capital and then some.



Ratio Analysis (FY2021-FY2025)

Metric	FY21	FY22	FY23	FY24	FY25
Current Ratio	0.88	0.87	0.76	0.59	1.10
Debt/Equity	NM	NM	NM	NM	NM
Interest Coverage (x)	0.94	0.76	0.72	0.66	0.74
ROE (%)	NM	NM	NM	NM	NM
ROCE (%)	10.37	10.52	10.25	12.23	11.08
CFO Margin (%)	37.28	45.14	44.74	48.83	21.32
Credit Score	49.83	47.74	38.99	35.86	50.24



Debt/Equity and ROE are marked Not Meaningful throughout, reflecting the sustained negative equity described in Section 2.5; this is a direct consequence of the company's financial position, not a data gap. Interest Coverage stays below 1.0x in every single year, meaning core operating earnings have never been enough to cover interest payments across this entire study, a persistent, structural weakness rather than a one-off bad year. Current ratio improved to 1.10 in FY2025 from a low of 0.59 in FY2024, and the credit score recovered from a low of 35.86 (FY2024) to 50.24 (FY2025), plausibly linked to the capital support and government equity conversion mentioned above easing near-term pressure, even though the core loss-making position has not actually resolved.

Cash Flow Analysis

Somewhat counter-intuitively, CFO Margin has stayed strongly positive throughout (21-49%) despite consistent net losses every year. This isn't a contradiction once you know why: telecom network infrastructure carries very large non-cash depreciation charges, and Vodafone Idea's reported losses are driven substantially by depreciation and interest rather than a cash shortfall in day-to-day operations. In other words, the core network business does generate real cash; that cash simply hasn't been enough to also service the company's total debt and legacy dues, which is the real source of the distress, not unprofitable operations in the everyday sense.

Risk Assessment

- Solvency risk: negative shareholder equity throughout the study is the most severe balance-sheet condition of any company covered here.
- Debt-servicing risk: sub-1.0x interest coverage every single year means the company has been structurally unable to cover interest from its own operating earnings without outside support.
- Competitive risk: continued pressure on subscribers and market share from better-funded rivals limits the pricing power needed for a genuine organic recovery.
- Reliance on external support: the FY2025 improvement coincides with government equity conversion and capital raises, not a demonstrated operational turnaround; continued external support remains a real factor in the outlook, not something fully resolved.

Management Commentary & Outlook

Management's continued efforts to raise capital and expand network coverage reflect an attempt to compete more effectively on network quality, likely a prerequisite for any subscriber-led recovery. The FY2025 score improvement should be read cautiously; it reflects easing near-term pressure following external support, not evidence that the underlying loss-making trend has actually reversed.

Credit Opinion & Rating: BB

Vodafone Idea remains a genuine financial distress case throughout this study, and the FY2025 improvement to BB from a low point in FY2024 should not be read as a resolved credit story. Sub-1x interest coverage and continued negative equity are structural weaknesses, not one-off events.

Investment View: Negative / High Risk

This is the highest-risk credit profile in this study's coverage. Any near-term stability is substantially dependent on continued external capital and regulatory support, rather than a demonstrated organic recovery, and should be weighed accordingly.

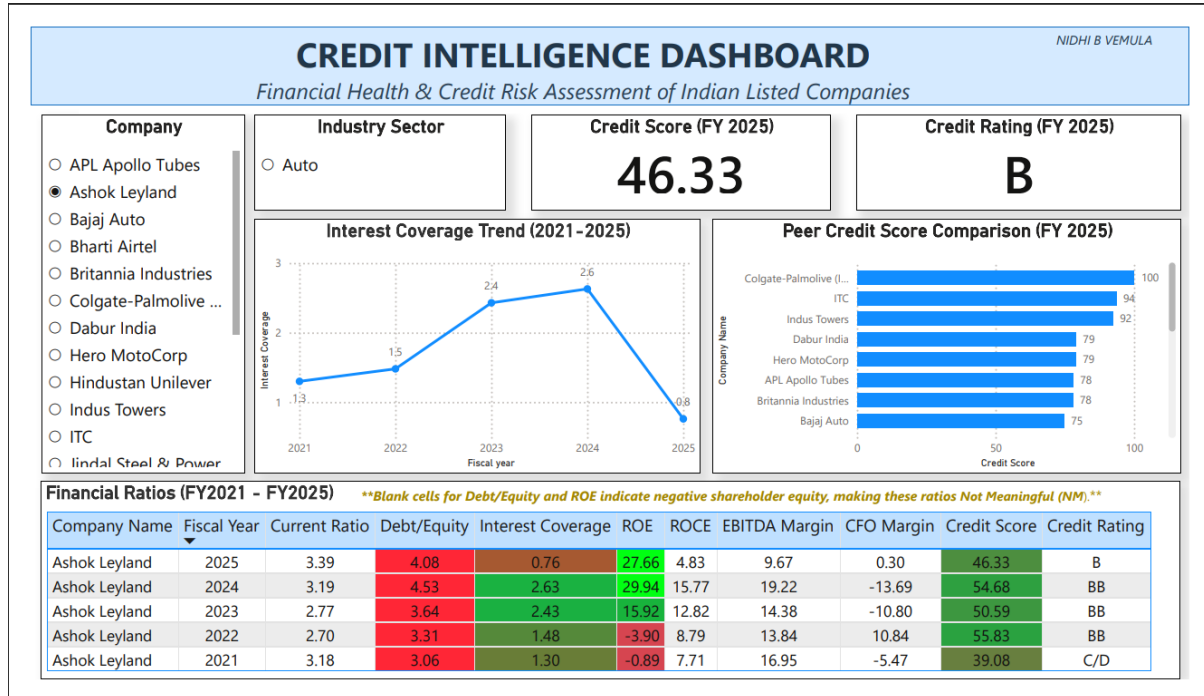
7. Standardized Coverage - Remaining Portfolio (FY 2025)

The following 17 companies receive standardized ratio and one-line commentary coverage, similar to how full analyst-depth research and quick-take coverage are typically split across a broad rating universe. Full five-year ratio history for every company is available in the accompanying SQL database and Power BI dashboard.

Company	Sector	Score	Rating	Commentary
Colgate-Palmolive (India)	FMCG	100.0	AAA	Near debt-free with exceptional ROE (86%); asset-light, high-margin personal care franchise.
Indus Towers	Telecom	92.3	AAA	Contracted, annuity-like tower infrastructure cash flows drive the dataset's highest EBITDA margin (90%).
Hero MotoCorp	Auto	78.9	A	Virtually debt-free two-wheeler major with very high interest coverage (82x); CFO margin is the main item to monitor.
Dabur India	FMCG	79.0	A	Low leverage, steady margins- a representative, non-standout FMCG performer.
APL Apollo Tubes	Steel	77.9	A	Thin steel-tube margins offset by strong ROCE (25%) and low leverage.
Britannia Industries	FMCG	77.8	A	High ROE (58%) reflects an efficient, well-capitalised bakery franchise.
Bajaj Auto	Auto	74.7	A	Strong margins and low leverage; FY2025's negative CFO margin is working-capital driven, not yet structural.
Hindustan Unilever	FMCG	74.1	A	Consistent, low-leverage major; ratios essentially flat FY2023-25, reflecting a mature franchise.
Jindal Steel & Power	Steel	70.2	A	Best-capitalised Steel name on Debt/Equity; ROE has compressed with sector-wide margin pressure.
Maruti Suzuki India	Auto	69.5	BBB	Debt-free with strong efficiency; held back by profitability metrics that are solid but not exceptional.
Mahindra & Mahindra	Auto	65.5	BBB	Higher leverage than Auto peers (consolidates a financial services arm); notably thin CFO margin.
Tata Communications	Telecom	61.6	BBB	High ROE alongside the highest Debt/Equity of any non-NM company (4.09x); leveraged but currently profitable.
JSW Steel	Steel	60.1	BBB	Interest coverage below 3x and single-digit ROE reflect ongoing sector margin pressure.
Bharti Airtel	Telecom	58.1	BB	Strong margins and ROE undercut by leverage (1.88x) and sub-4x interest coverage.
Steel Authority of India	Steel	57.9	BB	PSU major showing weak ROE (4%) despite moderate leverage.
Tata Steel	Steel	51.3	BB	Weakest FY2025 Steel reading; interest coverage and ROE both near the sector's bottom.
MTNL	Telecom	49.2	B	Negative EBIT/ROCE and negative equity mark this as one of the dataset's weakest credit profiles; positive CFO margin reflects heavy legacy depreciation, not operating recovery.

8. Interactive Dashboard Guide

A companion Power BI dashboard accompanies this report, letting anyone explore any company or sector interactively rather than relying only on the static tables above. Each visual on the dashboard has a specific, deliberate purpose:



Company Selector (Slider)

A clickable list of all 20 companies. Selecting one filters the Score card, Rating card, and trend chart to that company specifically; this is what makes the dashboard 'interactive' rather than a static report: one click updates several visuals at once, without needing to edit anything.

Industry Sector Selector (Slider)

A second filter, by sector, used to narrow the peer comparison chart down to a specific group of companies (e.g. just the 4 Steel companies) rather than viewing all 20 at once.

Credit Score & Credit Rating Cards

Two single-number displays showing the selected company's current (FY2025) score and letter rating, designed to be the first thing anyone looks at for a quick read on that company.

Interest Coverage Trend (Line Chart)

Shows how the selected company's Interest Coverage ratio has moved across all five years; used to spot whether a company's ability to service its debt is improving, worsening, or swinging unpredictably (as seen with Ashok Leyland in Section 6.2).

Peer Credit Score Comparison (Bar Chart)

Deliberately NOT filtered by the company selector; its entire purpose is to show multiple companies' side by side, so a viewer can see exactly where one company stands relative to its peers rather than in isolation.

Financial Ratios Table

A detailed table showing every ratio, for the selected company, across all five years; color-coded (green/amber/red) against the same thresholds used in the scoring engine, so the underlying detail behind any score is always one click away rather than hidden.

9. Portfolio-Level Risk Assessment

9.1 Concentration of Risk by Sector

Of the 6 companies rated BB or below in FY2025, 3 belong to Steel (Steel Authority of India, Tata Steel), 2 to Telecom (Vodafone Idea, MTNL), and 1 to Auto (Ashok Leyland); no FMCG company fell below A in the most recent year. This pattern suggests sector choice, not just individual company execution, plays a real role in credit outcomes across this dataset.

9.2 The 'Not Meaningful' Cohort

Vodafone Idea and MTNL share negative shareholder equity throughout the study, alongside a similar cash-flow pattern: both show healthy or strongly positive CFO margins despite large reported net losses, explained by heavy non-cash depreciation on telecom network assets rather than genuine unprofitability at the cash level. The general lesson: cash-flow-based and accounting-profit-based metrics can tell very different stories in capital-intensive, high-depreciation industries, and relying on either alone risks missing part of the picture.

9.3 Leverage as the Clearest Differentiator Within a Sector

Within both Auto and Telecom specifically, Debt/Equity is the single ratio that most consistently separates the higher-rated from lower-rated names; Maruti Suzuki (0.00x, BBB) versus Ashok Leyland (4.08x, B) in Auto; Indus Towers (0.65x, AAA) versus Tata Communications (4.09x, BBB) in Telecom. This suggests leverage discipline is a stronger predictor of relative credit standing than profitability alone, within a given business model.

9.4 One Ratio Can Hide What Another Reveals

Ashok Leyland's FY2025 result (Section 6.2) is the clearest example in this study of why a scoring framework built on ten ratios, not one, matters in practice. ROE alone (27.66%) looked strong, entirely because of a one-off non-operating gain; while Interest Coverage, ROCE, and EBITDA Margin, which all strip that gain out, revealed a real weakening in the core business. A single-ratio approach would have missed this entirely.

10. Key Business Insights

- FMCG's structural advantage (low debt, stable margins) shows up consistently across every single year studied, not just as a one-off good year; this is a durable, business-model-driven pattern, not a temporary condition.
- Commodity-linked sectors (Steel) transmit external shocks directly into credit scores; the FY2023 industry-wide margin squeeze shows up as a clean, sharp drop in this dataset's Steel scores, in a way that never happens to FMCG.
- Revenue growth alone is not a reliable credit signal - Ashok Leyland's revenue grew every year from FY2021 to FY2025, yet its credit rating still fell in the final year, because leverage and core profitability moved in the opposite direction to revenue.
- Positive cash flow does not always mean a company is financially healthy, and negative net profit does not always mean poor cash generation; Vodafone Idea and MTNL both show this pattern clearly, and it is a genuinely counter-intuitive but important distinction for anyone reading financial statements.
- Within a sector, leverage (Debt/Equity) is often a better predictor of relative credit standing than profitability - the strongest and weakest companies within Auto and Telecom in this study are separated more clearly by debt levels than by how much profit they report.

11. Limitations and Challenges Faced

This section documents the real practical challenges encountered while building this project, and how each was handled; both in the interest of transparency, and because working through these issues was itself part of the learning process.

11.1 Learning SQL and the Full Stack From Scratch

This project was built while learning SQL, Python, and Power BI simultaneously, rather than after already knowing them. Early stages involved real setup obstacles (a PostgreSQL installation that initially failed with an SSL-related error, and a stuck uninstall that required a full system restart to resolve) before any actual data work could begin.

11.2 Corporate Actions Disrupting Data Continuity

Two companies originally in scope had to be substituted mid-project: Tata Motors, following an October 2025 demerger that split its business into separate entities and made its historical financials inconsistent across the study period; and Nestlé India, following a change in fiscal year-end that created a non-standard 15-month reporting period. Both substitutions (to Ashok Leyland and Colgate-Palmolive respectively) are documented in Section 2.6.

11.3 An Excel Formula-Caching Issue

Partway through data loading, several ratios (initially total_equity for the FMCG sector, later found to affect ebitda in every sector) were loading into the database as blank (NULL) values. The root cause: these cells contained Excel formulas rather than typed numbers, and the calculated result had not been saved into the file itself; only the formula text was stored. Since the loading script reads files directly without opening Excel to recalculate them, it saw an empty formula with no answer attached. This was resolved by recalculating and converting all formula cells to plain numbers before reloading, and became a standing rule for every subsequent file: always fully recalculate (Ctrl+A, then F9) and save before uploading a spreadsheet with formulas in it.

11.4 Manual Data Entry Errors, Found Through Cross-Checking

Despite careful data collection, a full cross-check against screener.in after the initial build surfaced real transcription errors; most significantly, **Ashok Leyland's FY2025 revenue and EBIT figures** had both been entered incorrectly (revenue overstated by roughly ₹6,200 crore, and EBIT overstated by more than 3x). Correcting these changed Ashok Leyland's FY2025 rating by two full tiers, **from BBB to B**, and meaningfully changed its section of this report (Section 6.2). This was a genuinely useful reminder that manual data entry across 20 companies, 5 years, and roughly 17-line items each (over 1,700 individual data points) carries real error risk, and that cross-checking a finished dataset against its original source; even after the pipeline appears to be working correctly, it is a necessary step, not an optional one.

11.5 Scoring Thresholds Are This Project's Own Construction

The scoring bands used in this study (Section 2.4) were built using general credit-analysis conventions, not any rating agency's actual, confidential methodology, since the latter is not publicly available. A more advanced version of this project might calibrate thresholds separately per sector (a 'good' EBITDA margin looks very different in FMCG versus Steel), which this version does not yet do.

12. Conclusion

This study's scoring framework, applied consistently across 20 companies and four sectors over five years, produces results that line up well with independently known, well-documented industry stories: FMCG's structural strength, Steel's commodity-cycle volatility, Auto's uneven recovery, and Telecom's split between capital-light infrastructure plays and capital-intensive network operators. That a bottom-up, ratio-driven scoring system arrives at conclusions matching top-down, qualitatively known industry narratives is itself a reasonable form of validation for the approach.

Equally, this project's explicit handling of its own edge cases and mistakes; negative equity treated as Not Meaningful rather than silently miscalculated, real data entry errors caught and corrected through cross-checking rather than left unnoticed, and entity-level issues (the Tata Motors demerger, Nestlé's fiscal year change) resolved transparently, is intended as a genuine strength of this project, not a limitation to downplay. Real analytical work involves finding and fixing mistakes; documenting that process honestly is part of what makes this report genuine and credible.

Appendix

A. Full Scoring Thresholds

Complete ratio-to-points conversion tables (all five categories, all four tiers) are documented in the project's `scoring_engine.py` source file, available in the accompanying GitHub repository, alongside the full SQL schema, Python ratio and scoring engines, and chart generation scripts.

B. Data Sources

- Primary: screener.in (company-level financial statements, FY2021-FY2025)
- Secondary/cross-check: moneycontrol.com, company annual reports